

INTRODUCTION

1.1 ABOUT MILK

Milk is nutrient rich food that provides a large number of nutrients relative to the calories consumed milk is delicious as a beverage and can be used as a base for other drink such as hot chocolate. The milk of domesticated animals is also an important food source for humans. Most milk consumed in Western countries is from cows; other important sources include sheep, goats, water buffalo, and camels. Milk is essentially an emulsion of fat and protein in water, along with dissolved sugar, minerals (including calcium and phosphorus), and vitamins, particularly vitamin B complex. Commercially processed cow's milk is commonly enriched with vitamins A and D.

Many countries require pasteurization to protect against naturally occurring and artificially introduced microorganisms. Cooling further prevents spoilage (souring and curdling). Fat from whole milk (about 3.5%fat content) can be removed in a separator to produce cream and leave low-fat milk (1–2% fat) or skim milk (0.5% fat). Milk is usually homogenized, forced under high pressure through small openings to distribute the fat evenly. It may also be condensed, evaporated, or dehydrated for preservation and ease of transport. Other dairy products include butter, cheese, and yogurt.

1.2 FUNCTIONS OF COOPERATIVE MILK PRODUCERS UNION

1. Establishment of chilling centers.
2. Formation of new milk routes to collect milk produced by the members of the societies.
3. Collection of milk from societies, process and pack in modern dairy.
4. Supply of quality milk.
5. Fixation of procurement and selling price of milk.
6. Supply of inputs to the members of the societies.



1.3 HISTORY OF AAVIN

The dairy development was established in 1958 in Tamilnadu. The administrative and statutory controls over all the milk cooperatives in the state were transferred to the dairy development department on 1.8.1965. The commissioner for milk production and dairy development was made as the functional register under the Tamilnadu cooperative societies act. With the adoption of “an and pattern in the state of Tamilnadu.Tamilnadu Co-operative Milk Producers’ Federation limited was registered in the state of 1stFebruary 1981.

The commercial activities of the department such as milk procurement, chilling, processing, packing and sale of milk to the consumer etc., hitherto dealt with by the Tamilnadu dairy development cooperation limited, were transferred to the newly registered Tamilnadu Co-operative Milk Producers’ Federation Limited, popularly known as “Aavin. Tamilnadu Co-operative Milk Producers’ Federation Limited was constituted on 1st February 1981. Federation is procuring, processing and marketing of milk and milk products federation has implemented the dairy development activities under operation flood programmed with a financial and technical assistance of national dairy development board. Chennai metro is having four dairies.

Milk procurement, processing and distribution are being attended by the district unions in the respective areas. In the wake of liberalization policy, private dairies have also entered into the field of the honorable Chief Minister of Tamilnadu high priority has been given for improving the performance of milk co-operatives by adopting a symmetric approach in and proper strategy in milk co-operatives. Significant achievement has been made by milk producers’ cooperative societies, unions and federation in the state of

Tamilnadu. The cattle population in India is approximately 15% of total cattle population in the world. India stood no.1 position in milk production. Tamilnadu is one of leading state in milk production. The milk production in Tamilnadu per day is 145.88 lakh liters.

1.4 ABOUT COMPANY

Aavin is the third largest purchaser of milk among Dairy Co-operatives in India in terms of volume of milk by procuring 41 lakh liters per day. Tamil Nadu is the tenth largest producer of milk among the high milk producing States, with a milk production of 233 LLPD. Various value-added milk products are being produced from the milk purchased by Co-operative Societies and are sold under the brand name “Aavin”.

Aavin is a state government cooperative under the ownership of Tamilnadu Cooperative milk producers Federation Limited, Ministry of Cooperation, Government of Tamil Nadu and the trademark of Tamil Nadu Co-operative Milk Producers’ Federation Limited. Aavin procures milk, Processes it and sells milk and milk products to consumers. Aavin packs the goodness of fresh Milk from Coimbatore’s natural farms and deliver them into 1.25 million kitchens daily.

Aavin also makes the best quality, certified milk products from the fresh, purest milk for its community to enjoy and to be healthy the company produces a wide range



of products, including milk, butter, milk peda, ice cream, ghee, milk shake, curd, butter milk, tea, coffee, among other goods.

1.5PROCUREMENT

The union milk Procurement wing consists of both procurement and Animal Health Coverage. The procurement activity of the union is collecting milk from 225 societies. Through 17 milk collection-routes in both Tirunelveli and Thoothukudi district.



1.6 CHILING CENTRE

There are two chilling centers as follows:

1. Sankarankoil – Capacity of 30,000 litres
2. Vallioor– Capacity of 30,000 litres

1.7 Bulk Milk Cooler

1. Panneeroothu – Capacity of 5000 litres
2. Pillaiyaar kulam – Capacity of 5000 litres

1.8 OBJECTIVES OF THE COMPANY

Aavin Coimbatore is to produce wholesome and safe foods of excellent quality to remain pronounced market leader through deployment of food safety management system, state-of-art-technology, innovation and eco-friendly operations to achieve delightment of customers and betterment of Milk producers.

Ensure safe to consume milk products conforming to standards by following food safety management system in our activities.

- Meeting all statutory and regulatory requirements related to food safety in all our activities
- Ensure mutually agreed food safety requirements of our consumers
- Communicate food safety aspects both internally and externally
- Continually review and update our food safety management system.

1.9 MANAGEMENT OF DAIRY CO- OPERATIVE SOCIETIES IN THE STATE

The dairy co-operatives in Tamil Nadu functions under 3 tier system which is popularly known as ‘Anand pattern’. The details are:

Tier 1- At Village level- Primary dairy Co-operatives are formed at the village level which forms the base level of the 3tier system. These dairy Co-operative societies have direct contact with milk producer members in the villages. They procure milk from the member milk producers and after selling a small quantity of milk locally for local needs, supply the milk to the District Co- operative Milk Producers' Unions.

Tier 2- At District level- District Co-operative Milk Producers' Unions (DCMPU) are the middle-level Co-operative societies at the district level wherein the primary dairy Co-operatives in their jurisdiction are members. They procure surplus milk from the societies, process it and sell it to milk consumers. They also produce milk byproducts and convert the excess milk into skimmed milk powder.

Tier 3- At State level - Tamil Nadu Co-operative Milk Producers' Federation (TCMPF) is the apex level society in which all the District Unions in the State are members. Federation is purchasing milk from the member District Co-operative Milk Producers' Unions and after processing the same supply the same to the milk consumers in the metro.

It is arranging for the marketing of own liquid milk and products produced by all DCMPUs in the brand name of “Aavin”. Like all other Co-operatives, the entire 3 tier Dairy Co-operatives are governed by Tamil Nadu Co-operative Act 1983 and Tamil Nadu Co- operative Rules 1988.

1.9 AAVIN FRANCHISE RETAIL OUTLET

Our country is a major producer of raw milk with massive output. India's milk consumption is the highest in the world and accounts for approximately 26% of world consumption. In recent years with the growing premiumization and diversification of consumer needs, the uses of milk and dairy products have been expanding with high added value.

Tamil Nadu Co-operative Milk Producers Federation Limited popularly known as Aavin caters to the demands of consumer who wish to eat milk and dairy delicacies in standard food service format and it applies the concept of franchising to milk and dairy product retailing. In this article, we look at the investment and eligibility for starting an Aavin Franchise retail outlet in details.

1.9.1 FRANCHISEE PROFILE

Aavin franchise retail outlets are focusing for master partners with an entrepreneurial spirit, a strong stimulus to emerge and deserve willingness to invest and produce a strong benevolence along with commitment and customer-intended thinking. Experience in the franchising is not essential for setting up an Aavin FRO. Any individual with a minimum qualification of plus two can apply for the Aavin Franchise Retail Outlet.

1.10 REQUIRED INVESTMENTS

The applicant interested in opening an Aavin FRO would be needed to invest Rs.1 lakh. Necessary loan arrangements will be made with leading banks. For setting up an Aavin Franchise outlet at Airport, the applicant requires to deposit an amount of Rs.25000.

1.11 DOCUMENTS REQUIRED

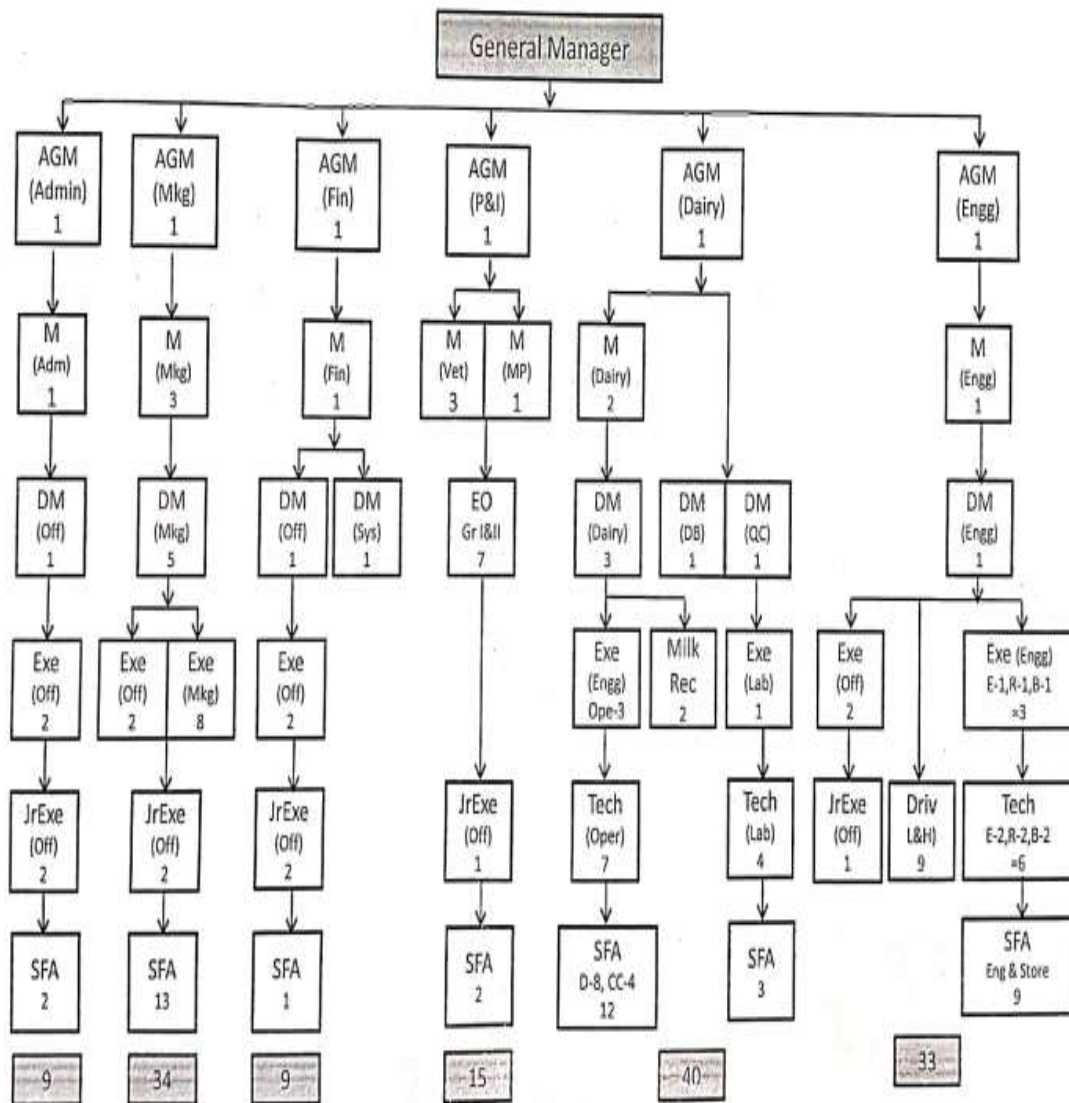
The applicant should attach the following documents along with the duly filled in application form:

- Identification Proof – Aadhaar card, Pan Card, Voter ID or Driving License
- Address proof – Aadhaar card, Pan Card or Driving License, Voter ID
- Bank Statement for last six months
- If owned space for FRO – a copy of Electricity Bill / Tax Bill
- If Rental space for FRO – a copy of Rental Agreement valid for two years Agreement and Electricity bill.
- Passport size photographs – 2 Nos.



1.12 ORGANIZATIONAL STRUCTURE:

Tirunelveli District Co operative Milk Producers' Union Ltd., Tirunelveli
Approved Cadre Strength – CMPDD Approved Ref. No: 15770/N1/2020, Date:20.12.2020



GM	1
AGM (Admin)	1
AGM (Mkg)	1
AGM (Fin)	1
AGM (P&I)	1
AGM (Dairy)	1
AGM (Engg)	1
Manager (Adm)	1
Manager (Mkg)	2
Manager (Fin)	1
Manager (P&I)	1
Manager (Dairy)	1
Manager (Engg)	1
Deputy Manager (Adm)	1
Deputy Manager (Mkg)	1
Deputy Manager (Fin)	1
Deputy Manager (P&I)	1
Deputy Manager (Dairy)	1
Deputy Manager (Engg)	1
Executive (Adm)	1
Executive (Mkg)	1
Executive (Fin)	1
Executive (P&I)	1
Executive (Dairy)	1
Executive (Engg)	1
Staff Assistant (Adm)	1
Staff Assistant (Mkg)	1
Staff Assistant (Fin)	1
Staff Assistant (P&I)	1
Staff Assistant (Dairy)	1
Staff Assistant (Engg)	1
Total	141

DEPARTMENT DETAILS

DEPARTMENT:

- Purchase Department
- Stores Department
- Production Department
- Quality Testing Department
- Human Resource Department
- Marketing and Distribution Department
- Finance department

FORMATION OF MPCS

The Salient Features Are

- The village should not have any, already existing functioning MPCS
- Minimum required members are 50
- 33 % reservation should be given to Women in the elected board of 11 members.
- The MPCS should be registered by Deputy Registrar (Dairying) of the concerned District.

Procurement of Milk

- Procurement of milk from members is based on quality of the milk.
- The poured milk is tested for its Fat and Solid Non-Fat% content.
- Based on the quantity poured and, on the quality, (contents of Fat% and SNF%), payment to the producers is made. Present procurement price to society is Rs.108.30 / Kg. of total solids.

The Milk Procurement Is Carried Out Through

- Formation of Village level Coop Societies.
- Convincing the Farmers to pour milk to Co-operative to fetch higher price.

- Year around Milk collection from the societies' door step by milk collection routes
Educating the farmers on Animal management, infertility and feeding management.
- Maintaining the book of accounts at the society level.
- The procurement price is calculated and given to the farmers based on the chemical quality of milk i.e. Fat and Solid Non-Fat.
- Payments to the producers are affected once in 10 days by the Union.

2.1 PURCHASE DEPARTMENT:

MILK

Milk is the normal secretion of the mammary gland of mammals. Its purpose in nature is to provide good nourishment for the young of the particular species producing it. Man has learnt the art of using milk and milk products as a food for his well-being and has increased the milk- producing function of the animals best adapted as a source of milk for him. The cow is the principal source of milk for human consumption in many parts of the world; other animals as sources of milk for human beings are the buffalo, goat, sheep, camel, mare, etc. In India, more milk is obtained from the buffalo than the cow. Some amount of goat milk is also consumed. Most milk consumed in Western countries is from cows; other important sources include sheep, goats, water buffalo, and camels. Milk is essentially an emulsion of fat and protein in water, along with dissolved sugar, minerals (including calcium and phosphorus) and vitamins, particularly vitamin B complex. Commercially processed cow's milk is commonly enriched with vitamins A and D. Milk contains calories, proteins, carbohydrate, fat, saturated fat, cholesterol, vitamin A, vitamin C, foliate, calcium, magnesium, zinc, phosphorus, iron.



Composition of Cow's Milk:

- Water – 87.2%
- Fat – 3.9%
- Protein – 3.4%
- Lactose – 5%
- Minerals – 0.7%
- Milk is the single largest agricultural crop in India.



Milk- The three types of fresh, preservative free milk

(Toned, Skimmed, and Full Cream)

1. Full Cream Milk: Full Cream Milk is pasteurized, homogenized is hygienically produced and made from Aavin fresh milk with 6% fat and with 9% SNF
2. Toned Milk: toned milk is pasteurized, homogenized milk with 3% fat and 8.5% SNF
3. Standardized Milk: Standardized Milk is pasteurized, homogenized milk with 4.5% fat and 8.5% SNF.

2.2 STORES DEPARTMENT

Stores is used for storing raw materials, to meet the contingencies in future period. First the order is received from the purchase department. Once the PO is received, they place the order and receive the materials. PO is verified with the bill and then the materials like pet jars and bottles used are sent to the quality control department to test its quality. Only if good quality certificate is issued it will be used for packing. If not, it will be returned to concerned parties. The purchased raw materials are stored in warehouse until they are used for production.

2.2.1 OBJECTIVES OF STORES DEPARTMENT

- To ensure uninterrupted supply of raw materials without any delay.
- To prevent overstocking and understocking of raw the materials.
- To ensure safe handling of materials and prevent their damage.
- To protect materials from rain, theft and other risks.
- To ensure proper control over materials.

2.2.2 THE RAW MATERIALS WHICH ARE STORED IN STORES DEPARTMENT INCLUDES

- Main items
- Engineering items
- Stationery items

Main Items

It includes polyethylene film, milk powder, butter sheer, pet jars, bottles, chemicals, lab equipment's, etc. These types of goods are used frequently.

Engineering Items

It includes tools and equipment's which are used for running machines. There are different kinds of spare parts. Lubricant oil, diesel, tire etc., are also stored here.

Stationery Items

It includes pen, paper, writing pads, accounts note, files and so on which will be needed for office work.

2.3 PRODUCT PRODUCTION DEPARTMENT

2.3.1 CURD:

Aavin premium curd is prepared by carefully standardizing milk solids, adding active culture at 45°C and incubating at 42-45°C which is reformed to curd after four hours of setting time, after which thick and delicious curd is obtained that comes in variants of 200g, 400g, and 1Kg. The curd is packed after inoculation and has a shelf life of 10 days.

2.3.2 INGREDIENTS:

Milk, Cream, SMP, Probiotic culture (freeze dried culture for direct inoculation)

2.3.3 PROCEDURE:

- Three tanks performing specific functions
- Tank 1-Capacity of 2000 l collects the milk at 50°C from PMT.Tank 2-culture is added.
- 1 l of milk is taken and 2 packets of culture is added. This is further mixed with the 2k liters of milk in tank 2.
- Tank 3-Well mixed milk is now diverted to packing sector from tank 3.



2.3.4 BUTTER:

The production of creamery butter in India in 1966 was estimated to have been about 6.3 per cent of the total milk production and 11.3 per cent of the milk used for the manufacture of dairy products. Butter serves as the balance wheel of the dairy industry; surplus milk is converted into butter, while during times of scarcity the milk intended for butter-making is used for more essential products.

Butter is the product obtained from cow or buffalo milk, or from cream or curd obtained from cow or buffalo milk or with or without the addition of common salt and annatto or carotene as coloring matter. It should be free from other animal fats, wax and mineral oils, vegetable oils and fats. Butter is very high in fat and fat-soluble vitamins A, D, E and K. The temperature during the entire period of distribution should preferably be at -18°C to -29°C (0 to 20°F). It may also be sold in retail trade from a deep freeze/refrigerated butter box.

2.3.5 GHEE:

Ghee is a class of clarified butter from India. It is commonly used in cuisine of the Indian subcontinent, Middle Eastern cuisine, traditional medicine, and religious rituals. Ghee is used in tandem with herbal medication as a part of Ayurveda, a centuries-old form of alternative medicine practiced in India. Beyond its believed spiritual and medicinal properties, ghee has recently gained traction as a healthier alternative to butter.

Ghee is typically prepared by simmering butter, which is churned from cream (traditionally made by churning the topmost layer of Curd), skimming any impurities from the surface, then pouring and retaining the clear liquid fat while discarding the solid residue that has settled to the bottom. Spices can be added for flavor. The texture, color, and taste of ghee depend on the quality of the butter, the milk source used in the process, and the duration of boiling time.

Ghee is a good source of Vitamin A, C, D, and K and also an excellence source of Vitamin E. Studies has shown that Vitamin E has significant antioxidant properties. Antioxidants like Vitamin E have been linked to lowering the risk of cancer, arthritis, and cataracts. Vitamin E can also help reduce the risk of heart disease.



2.3.6 FLAVORED MILK:

Skimmed milk is used for the production of flavored milk. Milk is taken in sterilized bottles then flavors/ additives are added according to FSSAI regulations. Then it is kept in autoclave for 15 minutes at 121°C. Flavors like cardamom, chocolate, almonds, pista and pineapple are prepared.

Composition

For 100 ml

- Fat -30g
- Protein - 3.2g
- Carbohydrates – 14.6g
- 27Added sugar – 10 g
- Minerals. – 0.7g
- Energy value 93 Kcal



2.3.7 INGREDIENTS

- Toned milk
- Permitted synthetic food color
- Sugar
- Added flavor



2.3.8 MILK PEDA / KHOA PROCESSING:



2.3.9 PREPARATION:

A stainless-steel double jacketed, steam heated pan or kettle is used to provide greater control on the heating process and to ensure a non-smoky heating. 80 liters of standardized milk along with 5 kg of sugar is taken per batch and milk is brought to boil in the kettle. During boiling, bottom and the surfaces of the kettle are scraped and milk is stirred vigorously by a stainless-steel stirrer for about 1-1 and half hours to avoid burning of milk. About 2 Kg/cm² pressure is used for boiling milk.

When the milk attains a Rabri stage, slow heating is necessary at this surface, discoloration of the product, development of burnt flavor and hard body and coarse texture. The rate of stirring should be increased during last stages to obtain good quality product. As soon as the product shows signs of leaving the sides of the kettle and accumulates in the center in a pat form, heating is stopped. About 15 kg of khoa is approximately by this method.

2.4 QUALITY TESTING DEPARTMENT

Good-quality raw milk has to be free of debris and sediment; free of off-flavors and abnormal color and odor; low in bacterial count; free of chemicals (e.g., antibiotics, detergents); and of normal composition and acidity. The quality of raw milk is the primary factor determining the quality of milk products. Good-quality milk products can be produced only from good-quality raw milk.

The hygienic quality of milk is of crucial importance in producing milk and milk products that are safe and suitable for their intended uses. To achieve this quality, good hygiene practices should be applied throughout the dairy chain. To assure the quality of product various test are performed. Those include

- Organoleptic test
- Clot on boiling test
- MBR test
- Gerber's test
- CLR test
- Total solids and SNF test
- Free fatty acid test
- Phosphatase test
- Acidity test

2.5 HUMAN RESOURCE DEPARTMENT

This section involves the process of maintaining and controlling of the organization. It is a supervisory department of Aavin. Approximately there are around 500 employees involved in Aavin where 260 employees are working in production unit and remaining are office staffs. The disciplinary action is taken by this department. The various functions include recruitment, training, development, promotion, demotion, and performance appraisal.

2.5.1 FUNCTIONS

- Recruitment of the new staff
- Training and development of the workers
- To fix the day-to-day activities of dairy
- To sanction medical leave, earned leave, privilege leave
- To look over the welfare services
- Allocating salary, increments for daily routine workers
- To take some disciplinary actions in the organization
- To maintain employee register

2.5.2 RECRUITMENT

Recruitment to Aavin is followed pertaining to the following methods

- Direct recruitment
- TNPSC

2.5.3 LEAVE

The following leave are availed by the employees

- Casual leave - 12 days per year
- RH - 3 days per year

- Earned leave - 15 days per year
- Medical leave - 90 days
- Maternity leave - 1 year with pay

The employee can also save their leave without availing it and can be claimed as salary and this is known as earned leave. Employees can avail leave only after proper intimation to the General manager. If not, disciplinary action will be taken by the senior executive. If the employee avails leave frequently, he will be given memo for explaining his reasons.

2.5.4 SALARY

Salary is different for every worker. Salary is based on seniority and also based on the performance of the employees. If over time duty is performed, he will be provided with double wages.

2.5.5 INCREMENT

There are 3 grades of increment which is provided to an employee based on their performance. They are

- 10 years – 6% selection grade
- 20 years – 6% special grade
- 30 years – 3% super grade

2.5.6 BONUS:

Bonus will be provided during festival seasons along with sweets.

2.5.7 RETIREMENT:

Age of retirement is 60 for all workers.

2.5.8 EMPLOYEE WELFARE MEASURES

Aavin follows many acts for the welfare of the employees according to the factories act 1945.

2.5.9 WORKERS' COMPENSATION

The worker's compensation is given to the workers for any accident as per workers compensation act 1923.

➤ Medical allowance

In case medical leave exceeds 90 days (service of 5 years and above) then medical board will take the matter and medical allowance will be provided accordingly.

➤ Canteen

Meals, tiffin and tea are supplied to the employees at the reasonable rate by the union canteen.

➤ Shelters

Shelters are provided separately for male and female. They can utilize this space for taking rest.

➤ Uniform

Employees who are directly engaged with the production, is provided with blue colored uniform.

2.6 MARKETING AND DISTRIBUTION DEPARTMENT

2.6.1 MARKETING DIVISION

Tamil Nadu Producers' Co-operative Milk Producers Federation was established not only as a business entity but as a social movement in order to uplift the livelihood of rural dairy producers in Tamil Nadu and to provide good quality and hygienic milk to consumers at a reasonable price. The production of milk sachets is being done at dairy situated in RS Puram. The milk is distributed all over Coimbatore by the Marketing Division. There is a huge market for milk and milk products in Coimbatore city and its suburbs. The marketing division has been taking efforts to capture this market. Due to these efforts, Aavin has a market share of more than 50%.

Strategic Planning

The company satisfies the customers through exchanging the leakage products, providing quality products, analyzing customer's feedback and resolving their suggestions. The strategic planning differs based on the following two reasons.

- Lean season: Produce less and market more.
- Fresh season: More milk is available and excess are sent for powder

Target Market

Their target market is of private institution and rural marketing. Where these customers give more support to the organization.

Market Segment

The market is segmented into Rural and urban.

Market Strategy

The Aavin milk industry has the marketing strategies like maximizing sales, maintaining quality, sales promotional activities and customer's satisfaction. Other strategies are advertisement through banners, mike announces local channels and conducting various programmes about pasteurized milk and its hygiene. retaining the customers by providing with various offers.

Whereas they sell milk to hotels, hospitals, schools, colleges and many other government and private institutions.

Forecasting Method

The forecasting demand is based on the market conditions, seasons etc. when the demand decreases the production of the company's products and procuring milk from the out siders increases during season times.

2.6.2 TYPES OF MILK AND MILK PRODUCTS

The following variants of milk and milk products are being sold in Chennai.

1. Toned milk - (TM) 3.0% fat; 8.5% SNF
2. Standard Milk - (SM) 4.5%; 8.5%
3. Full Cream Milk - (FCM) 6.05; 9% SNF
4. Double Toned Milk - (DTM) 1.5% fat; 9% SNF
5. Aavin Teamate- (Teamate) 6.5% fat; 9.5% SNF



2.6.3 MILK PRODUCTS

More than 150 varieties of milk products like Ghee, Butter, Buttermilk, Curd, Lassi, Yoghurt, Gulabjamun, Rasagulla, Khova, Various varieties of ice-cream are being sold in Chennai.

There are more varieties of milk. This includes

- Toned Milk
- Standard Milk
- Full Cream Milk
- Double Toned Milk

According to demand, size and order, the packaging of the milk varies.

SI.NO	Varieties of Milk	1000ml (price)	500ml (price)
1	Toned milk	40	20
2	Standard milk	44	22
3	Full Cream milk	48	24
4	Double Toned milk	34	17

2.6.4 CONSUMER MILK CARD

Aavin is the only brand in the country that offers milk cards to household consumers to meet their daily milk requirement on advance monthly payment.

SI.NO	Varieties of Milk	1000ml (price)	500ml (price)
1	Toned milk	37	18.50
2	Standard milk	42	21
3	Full Cream milk	46	23
4	Double Toned milk	32	16

2.6.5 DISTRIBUTION CHANNELS

The marketing division has established the following infrastructure to make it easier for consumers and the general public to get access to the Aavin products

- Milk Depot
- Milk Delivery Point
- Federation Parlors
- Hi-Tech Parlors
- Franchisee Retailer outlet (FRO)
- AVM Parlors NFRO

2.6 FINANCE DEPARTMENT

Finance plays a vital role in any business. “FINANCE is concerned with a decision about money or more appropriately cash flows.” That part of an organization that manages its money is called Finance Department. This department have coordination with all the departments and it is a centralized department. All the department of aavin is interconnected to the finance department for the payments, fund allocations.

The business functions of a finance department typically include planning, organizing, auditing, accounting for and controlling its company's finances. The finance department usually produces the company's financial statements. The key functions include

- To ascertain the financial position of the company.
- To prepare the annual income and expenditure, profit and loss account, balance sheet.
- Bookkeeping and Payables/Receivables
- Utilizing the funds properly
- Financial Reporting and Control 20
- Financial Planning & Analysis
- Cash book, ledger is also maintained

All bills related to input and output of milk is dealt here. Based on the reports provided by the department the company performances can be known. It helps in comparing previous year performances with current year performances. With the help of this comparison the company's growth can be known. Hence, Finance Department plays an immense role in company's growth.

SWOT ANALYSIS

3.1 STRENGTH

- Robust Domestic Market that Milk Aavin Operates in-Milk Aavin can easily grow in its domestic market without much innovation but will require further investment into research and development to enter the international market.
- The temptation so far for the managers at Milk Aavin is to focus on the domestic market only. Diverse Product Portfolio of Milk Aavin – The products and brand portfolio of Milk Aavin is enabling it to target various segments in the domestic market at the same time. This has enabled Milk Aavin to build a diverse revenue source and profit mix.
- Strong relationship with existing suppliers – As an incumbent in the industry, Milk Aavin has strong relationships with its suppliers and other members of the supply chain. the organization can increase products and services by leveraging the skills of its suppliers and supply chain partners.
- Successful Go to Market Track Record – Milk Aavin has a highly successful track record of both launching new products in the domestic market but also catering to the various markets based on the insights from local consumers.

3.2 WEAKNESS

- Lack of Workforce diversity – I believe that Milk Aavin is not diverse enough given that most of its growth so far is in its domestic market. This can reduce the potential of success of Milk Aavin in the international market.
- Lack of critical talent – I believe that Milk Aavin is suffering from lack of critical talent especially in the field of technology & digital transformation. Milk Aavin is struggling to

restructure processes in light of developments in the field of Artificial Intelligence (AI) and machine learning.

- Customer Dissatisfaction – Even though the demand for products have not gone down, there is a simmering sense of dissatisfaction among the customers of Milk Aavin. It is reflected on the reviews on various on-line platforms. Milk Aavin should focus on areas where it can improve the customer purchase and post purchase experience

3.3 OPPORTUNITIES

- Lucrative Opportunities in International Markets – Globalization has led to opportunities in the international market. Milk Aavin is in prime position to tap on those opportunities and grow the market share. Growth in international market can also help Milk Aavin to diversify the risk as it will be less dependent on the domestic market for revenue.
- Developments in Artificial Intelligence – Milk Aavin can use developments in artificial intelligence to better predict consumer demand, cater to niche segments, and make better recommendation engines E-Commerce and social media Oriented Business Models – E-commerce business models can help Milk Aavin to tie up with local suppliers and logistics providers in the international market.
- Social media growth can help Milk Aavin to reduce the cost of entering new markets and reaching customers at a significantly lower marketing budget. It can also lead to crowd sourcing various services and consumer-oriented marketing based on the data and purchase behavior.
- Changing Technology Landscape – Machine learning and Artificial Intelligence boom is transforming the technology landscape that Milk Aavin operates in Milk Aavin can use these developments in improving efficiencies, lowering costs, and transforming processes.

- Growing Market Size and Evolving Preferences of Consumers – Over the last decade and half the market size has grown at a brisk pace. The influx of new customers has also led to evolution of consumer preferences and tastes. This presents Milk Aavin two big challenges – how to maintain loyal customers and how to cater to the new customers. Milk Aavin has tried to diversify first using different brands and then by adding various features based on customer preferences.

3.4 THREATS

- Growing Protectionism - Milk Aavin should hedge the risk against growing protectionism ranging from storing data into international market to diversifying risk by operating into countries at different economic cycle.
- Government Regulations and Bureaucracy – Milk Aavin should keep a close eye on the fastchanging government regulations under the growing pressure from protest groups and nongovernment organization especially regarding to environmental and labor safety aspects.
- Increasing bargaining power of buyers – Over the years the bargaining power of customers of Milk Aavin has increased significantly that is putting downward pressure on prices. The company can pursue horizontal integration to consolidate and bring efficiencies but I believe it will be a short term relief. Milk Aavin needs fundamental changes to business model rather than cosmetic changes.
- Increasing costs component for working in developed market because of environmental regulations – Milk Aavin has to deal with these costs as governments are trying to levy higher environmental taxes to promote cleaner options. For Milk Aavin it may result into higher logistics costs and higher packaging costs.

LEARNING OUTCOME

- Acquired knowledge in the domain of Marketing and Finance to certain extent.
- During the internship programme, I was able to learn information regarding production.
- I understood the function and nature of various departments such as finance, administration, purchase etc.
- Norms and principles to be followed in government sector were learned.
- I was able to learn everything practically rather than theoretically.
- Gain a deep understanding of the dairy industry, including its supply chain, production processes, and market dynamics
- Explore techniques for marketing dairy products, building a brand, and expanding the consumer base.
- Acquire skills in financial analysis, budgeting, and investment decisions relevant to the dairy sector.

CONCLUSION

As a part of Post Graduate in Finance and Marketing I have done 40 days of in plant training in Aavin. Knowledge and skills acquired during the internship will be of beneficial for my career. The training helped me to reach people who were expertise in concern field. As an intern the experiences gathered enriched my prior practical knowledge. As a part of my intern 40 days were seriously invested in learning entirely new skills and information.

From my – In plant training what I conclude is that The Aavin is the one of the quality oriented milk production companies and there is no any kind of compromise and negligence in the prevention and maintenance of the machinery and mechanical equipment .

ANNEXURE:

